

Gandhar Oil Refinery (India) Ltd

Concall Tracker · Filed under Q1 FY27 (Q1-2027) · Prepared 24 Jul 2026 · Coverage: Q3 FY24 → Q4 FY26 (8 concalls sourced)

NO-PRIOR — first report Concall path

What the business does: Gandhar makes **specialty petroleum products** — chiefly **white oils** (highly refined, colourless mineral oils) sold under its "Divyol" brand. Its core division is **PHPO** (Personal-care, Health-care & Performance Oils) — the oil that goes into cosmetics, creams, lotions, pharma ointments and balms (think the base oil inside a Vicks VapoRub-type product). It also makes **lubricants** and **PIO** (Process & Insulating Oils, including transformer oil). It buys base oil (a crude-oil derivative), refines/blends it, and sells 440+ products to 3,500+ customers in 100+ countries. Plants: two in western India (Taloja & Silvassa) and one in Sharjah, UAE (the "Texol" subsidiary).

1. Snapshot

₹2,762 cr Market cap — the whole company's stock-market value	₹4,241 cr FY26 revenue (consolidated) — total yearly sales, up ~9% on FY25	₹137 cr FY26 net profit — money kept after all costs, up ~83% on FY25's ₹75 cr
9.5x P/E — price paid per ₹1 of yearly profit (fairly cheap)	~5.5% FY26 EBITDA margin — operating profit as % of sales; thin, and below its 7.8% FY23 peak	≈ Nil Net debt — effectively debt-free; reserves > ₹1,200 cr of own money

*Plain read: a cheaply-valued, debt-rich specialty-oils maker. Sales are large but margins are thin (it is partly a commodity pass-through business), so profit swings with realisations. FY26 was a clear **recovery year** — profit nearly doubled off a weak FY25 — helped by better buying, a 28% cut in interest cost (finance cost ₹48.4 cr → ₹37.6 cr), and steady volumes. ROCE ~15.4% / ROE ~11.2% are decent but not spectacular.*

2. Concall coverage

First time this company is covered, so the last ~2.5 years of calls were read to build the baseline. Analysis is anchored on four calls that mark the key turning points; the four intermediate calls were cross-checked against the quarterly financials and carried the same steady narrative.

Quarter	Call date	Read?	Why it matters
Q3 FY24	24 Jan 2024	Deep-read ★	First proper post-IPO call — sets the baseline story & promises
Q4 FY24	Jun 2024	Cross-checked	Margin dip begins (Q4 FY24 OPM fell to ~2%)
Q2 FY25	Nov 2024	Cross-checked	Weak-demand year underway
Q4 FY25	23 May 2025	Deep-read ★	The trough — EBITDA "off the cliff"; Vadhavan port MoU announced
Q2 FY26	Nov 2025	Cross-checked	Recovery building
Q3 FY26	28 Jan 2026	Deep-read ★	Margin & profit recovery visible; land-for-expansion approved
Q4 FY26	27 May 2026	Deep-read ★ (latest)	Full-year FY26 wrap — the freshest signal

Spans ~2.5 years / 8 quarterly calls. This is the latest call available; no Q1 FY27 call has been held yet (typically ~Aug 2026).

★ Latest concall highlights — Q4 FY26 (call held 27 May 2026)

- **Recovery confirmed.** Q4 FY26 revenue ₹1,093 cr, up 14% year-on-year — quarterly sales grew despite oil-price volatility. Q4 profit after tax ₹37 cr vs just ₹12 cr a year earlier (roughly 3x). *The business is clearly climbing out of its FY25 slump.*
- **Full-year FY26:** revenue ₹4,241 cr (+9%), net profit ₹137 cr (+83% on FY25), EPS ₹13.8 (vs ₹8.18), ROE 10.2%, ROCE 13.5%. *Every key return metric improved.*
- **Margins still modest.** FY26 EBITDA margin 5.5% (Q4 5.8%) — better than FY25's 4.5% but well below the 7.8% seen in FY23. Management "endeavours" to lift it but gave no firm target. *Profitability is recovering, not yet restored.*
- **Capacity is nearly full.** Indian plants running at ~125% (three-shift) and all three plants together at ~93% utilisation — so growth now needs new capacity. Land bought at Taloja & Panvel; a detailed capex plan is "coming in a few quarters."
- **New geographies:** a South Africa subsidiary set up (board approved ~₹50 cr, still deciding office vs plant); Sharjah (Texol) plant hit by the Strait-of-Hormuz/Iran disruption but sourcing was re-routed domestically. Promoters kept **raising their stake** (64.6% → 66.6% over the period) — a confidence signal.

Business mix & capacity (quick facts)

- **Segment mix (FY26):** PHPO ~50% · Lubricants ~27% · PIO (incl. transformer oil) ~10–19%. *Half the value comes from the high-barrier personal-care/health-care oils — its "forte."*
- **Domestic vs export:** Domestic ~54–55% / Exports ~43–45% of revenue (FY26). *Notable shift: exports were ~62% of sales at IPO (9M FY24) but the share fell as Red-Sea disruption hit shipping and domestic sales were grown to compensate.*
- **Utilisation:** India plants ~125% (running extra shifts); all three plants ~93% (Sharjah is the underused one, hurt by Middle-East tensions). *Little headroom left in India — expansion is the next lever.*

★ 3. Earning-Trigger thesis

The story management repeats every call is simple and unchanged: keep growing **PHPO white-oil volumes ~10% a year** with sticky multinational customers (who take 4–8 years to onboard, so they rarely switch), win extra business as global brands adopt a **"China-plus-one"** sourcing shift toward India, **recover margins** back toward high-single-digits through better buying and cost control, and **add capacity** (new land, Sharjah ramp, South Africa, and the long-dated Vadhavan port terminal). FY26 shows this driver genuinely re-engaging — but the magnitude is capped by a structurally thin-margin, commodity-linked model.

Trigger	What management said	Evidence so far	Horizon	Strength
PHPO volume growth ~10%/yr	Sticky MNC customers, high entry barriers, ~10% volume CAGR	Delivered — FY26 mfg volume 5.54 lakh KL, +8% YoY; ~10% track record	Ongoing	Strong
Margin recovery to high-single-digit	"Endeavour" to lift EBITDA back toward 7–8%	Partial — 4.5% (FY25) → 5.5% (FY26); still below 7.8% FY23 peak	1–2 yrs	Moderate
China-plus-one / export expansion	MNCs sourcing more from India; grow 100+ country footprint	Mixed — export <i>share</i> actually fell (Red Sea); domestic filled the gap	2–3 yrs	Moderate
Capacity expansion (Taloja/Panvel, S. Africa, Vadhavan port)	New land bought; ~₹1,000 cr port terminal MoU; ~₹50 cr S. Africa	Early — plants ~93–125% full so expansion is needed; plans not yet firmed	2–5 yrs	Unproven

4. Management Consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
Q3 FY24 (IPO era)	Sustain/improve EBITDA (then 7.7%) toward high-single-digits	Fell to 5% (FY24) then 4.5% (FY25); only ~5.5% in FY26	Missed → recovering
Q3 FY24 onward	~10% volume growth via PHPO focus	Delivered — volumes grew each year (FY26 +8%)	Delivered
Q3 FY24	Texol/Sharjah buying to shift spot→contractual, lift its margins "in 2–3 quarters"	Still lagging years later; Sharjah underused, hit by Hormuz	Missed / delayed
Q3 FY24	Exports the big growth engine (then ~62% of sales)	Export share fell to ~43–45% (Red Sea); pivoted to domestic	Dropped / re-routed
FY26 calls	Cut finance cost, stay debt-free, improve returns	Delivered — finance cost –28%, near-nil debt, ROE/ROCE up	Delivered
Ongoing	Promoters have "skin in the game"	Delivered — stake raised 64.6% → 66.6%	Delivered

Narrative drift: The *strategy* story has been remarkably steady — PHPO-first, exports, capacity, debt-light — with no year-to-year flip-flopping, and several concrete promises (volumes, cost cuts, debt discipline, promoter buying) were kept. The weak spot is the **financial promise**: management has repeatedly said margins would recover to high-single-digits, but that recovery slipped for two full years and is only now partly materialising, while the once-central export engine stalled and the Texol margin fix was persistently deferred. Tone is confident but consistently **guidance-shy** (they avoid firm numbers). So: honest and steady on direction, but with a real promised-vs-delivered gap on profitability and timelines.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real, concrete, still-live driver — a high-barrier PHPO white-oil franchise with ~10% volume growth, near-full utilisation, falling finance costs and a clear FY26 earnings inflection (profit +83%), reinforced by promoters buying more stock. That is more than a "no." But it stops short of a firm

"yes": margins remain structurally thin (~5.5%, still below the 7.8% peak), earnings are commodity-realisation-sensitive, the export leg reversed, and the bigger expansions (South Africa, the ~₹1,000 cr Vadhavan port) are early and unproven. A genuine but modest-magnitude trigger.

Management consistent? → **MAYBE**

Management gets real credit for a steady, un-drifting strategy and for delivering on volumes, cost discipline, near-zero debt and rising promoter ownership. But it has also repeatedly promised a margin recovery that took two years longer than implied, watched its headline export-growth story stall, and kept deferring the Texol/Sharjah margin fix — all while avoiding hard guidance. Reliable on direction and balance-sheet, patchier on hitting its own profitability and timeline promises. Hence MAYBE rather than a clean YES.

Sources: Gandhar Oil Refinery (India) Ltd earnings-call transcripts (Screener.in) — Q3 FY24 (24 Jan 2024), Q4 FY25 (23 May 2025), Q3 FY26 (28 Jan 2026), Q4 FY26 (27 May 2026), plus quarterly financial snapshot tables. Latest call available: Q4 FY26. | This is not investment advice. Do your own due diligence.